

$$V_0 = \left[\frac{150}{(1.12)} + \frac{170}{(1.12)^2} + \frac{200}{(1.12)^3} + \frac{250}{(1.12)^4} \right] + \frac{CF_4}{(R - G)}$$

In year 5 ie. we expect CF4 to grow by 5% so Rs 250 in 4th Year will become 262.5

So we get, $\frac{262.5}{0.12 - 0.05} = 3750$

$$V_0 = 141.51 + 151.98 + 161.92 + 198.03 + 3750$$

$$V_0 = 4403$$

So, let us assume that 3.83 crore shares are outstanding in the company. Now when we divide the value of the company by the total number of outstanding shares we get a value of Rs 1149 (4403 / 3.83).

This means that the company's stock should be trading at around Rs. 1149. So we can assume that the share value should be approx. Rs 800-Rs 900.

